NYT CEO Meredith Kopit Levien on Running a Media Brand in the Age of AI

Podcast: Odd lots

AI Executive Summary

Core Thesis

The New York Times, under President and CEO Meredith Copot-Levian's leadership for six years as well over a decade in total media experience, has evolved from a struggling print publication into a diversified digital powerhouse driven by four pillars: uncompromising independent journalism funded first dollar revenue, the strategic integration of lifestyle verticals (Sports, Games, Recipes) to serve an engaged audience rather than just advertisers, long-term family-controlled governance that insulates strategy from quarterly pressure, and responsible AI implementation. The company has successfully maintained its core promise of "high quality, trustworthy information" while monetizing this engagement through subscription bundles and premium product offerings, proving that the media business can thrive by investing in human-led storytelling over short-term ad-centric metrics.

Key Arguments & Data

- **Investment Prioritization:** The company allocates capital primarily to high-quality independent journalism as its foundational value driver; revenue-generating ventures (games, sports) are designed for audience engagement and brand extension but do not rely on them as a loss leader or the core mission.
    - *Claim:* "The first dollar... goes to high quality independent news journalism."
- **Workforce Scale & Stability:** The NYT has grown its journalist count significantly since 2013 (when Copot-Levian started) with one of the largest collections in history ("a thousand more journalists"). She defends against claims that they are underpaid by pointing to specific staff counts on critical ground like Ukraine.
    - *Claim:* "We had 70 people on the ground in Ukraine... five years into a grinding war." (2,500+ reporters/journalists total).

- **Talent Strategy:** The company acts as an employer of record for top-tier talent by matching stars with robust support systems rather than just pay scales; they actively court journalists who want to work within the NYT environment.
    - *Claim:* Talent retention is supported through legal/security teams protecting difficult topics and best-in-class editorial partnerships (e.g., Ezra Klein credited editor Aaron Redica).
- **Video & AI Strategy:** The company views video as a consumer engagement play ("millions of people") rather than an ad-centric pivot, utilizing human-led reporting where judgment/sensitivity are required. They use token spend to assist coding/product development internally but keep journalism "human led."
    - *AI Usage:* Used tools to analyze 3 million pages in the Epstein files and sort tennis court imagery for pickleball trends; AI does not replace reporter's core role of gathering new information from sensitive scenes.
- **Economic & Pricing Model:** The business model relies on a tiered subscription approach ("News + Lifestyle Bundle") where the "hero product" starts at $1/week to capture users, moving them up via engagement and increased perceived value over time rather than forcing paywalls immediately.
    - *Pricing:* Family plan bundles are available for subscribers who engage enough to see more value; company avoids tipping too far so as not to plant seeds against future subscription growth.
- **Governance Structure:** As a family-controlled public company, NYT maintains independence from commercial interests and allows leadership (like the CEO) to make long-term bets without pressure to sell assets for quick returns or cut staff during "defensive" periods like the Ukraine war reporting.

Actionable Takeaways

1. **Media Strategy Insight:** For business leaders, diversify revenue streams beyond core products only if they enhance audience engagement and brand trust; avoid viewing them as short-term profit levers that can cannibalize primary value creation (news).

2. **AI Integration:** Deploy generative AI tools to optimize productivity in data analysis or content production workflows where human judgment remains necessary, but never let it compromise the core reporting function of gathering new information with sensitivity and care.
3. **Talent Management:** When building newsrooms, invest heavily in supporting structures (legal, security, editorial) that protect journalists' ability to pursue difficult truths; this is as vital for retention as salary compensation levels.
4. **Consumer Engagement Growth:** Use low-cost entry points ($1/week or similar "hero products") to capture a broad market share before moving customers toward higher-priced bundles based on demonstrated value and engagement time rather than aggressive monetization tactics during the early phase of adoption.

Full Transcript

Our hometown is not a test tube. 90 miles northeast of Nashville, a battle for the future of America plays out in one small town. Developers with right-wing ties have purchased hundreds of acres of land. We need cities on a shining hill. This is Our Town, a podcast about what happens when a small town becomes the site of a social experiment and fights back. I guess you didn't move in on a bunch of dumb hillbillies now, did you? Listen to Our Town on the iHeart radio app. Apple Podcasts or wherever you get your podcasts. Bloomberg Audio Studios. Podcasts. Radio. News. Hello and welcome to another episode of The Odd Lodz Podcast. I'm Joe Weisenthal. And I'm Tracy Allaway. Tracy, I think I've mentioned this story once or twice on the podcast. I repeat things as I get older. You know what I mean? You repeat the lore. They repeat the lore.

There are new listeners who haven't heard it before. In 2009, when I was in a business insider, my first sort of real journalism job, I got a call from someone. I don't remember who, but someone asked me, they're like, oh, would you be interested in coming in and for an interview, a deal book, which is, you know, part of the New York time. And at the time, I was just like, what? Why would I want to board the Titanic? You know, the stock was at 6 a share. old print media, I was like part of the internet, etc. I was like, no, I didn't. I was like, no, why would I want to do that? I like I'm part of a new thing, you know? I mean, I think this is a very old traditional media versus new media divide because around that time.

I guess I would have been at the FT already and the New York Times kind of looms very large in print media to put it mildly. So there are two things that I when I think about that moment that really stand out and how different we are 17 years later or something like that. One is the New York Times was certainly not the Titanic and it's done extraordinarily well since then. almost can't overstate how much it's reversed. But too, there's something else, which I think is interesting, which is that maybe at the time, those of us sort of doing independent media, et cetera, maybe it's like, oh, the goal is to reach a brand like the New York Times, whereas these days...

one of the things that arises is people who are at big platforms and publications like the New York Times might look and see how lucrative independent media is and be tempted to like, oh, do I need the label? Do I need the platform anymore? I could make a ton of money on Substack or something like that. Lots of spin-outs of journalists going independent, for sure. The other thing I was thinking of is just the melding of digital and print media, right? Because it feels like both sides look a lot more... like each other that they're used to. So you have the old school print publications that have gone big on digital, including games, video, podcasts, all that good stuff. And meanwhile, a lot of the independent writers, the bloggers are now known for producing very high quality content and journalism. So it's kind of like everyone's come together. Yeah, this is a big future. Anyway.

To understand contemporary media business, we have to understand the New York Times clearly just like a huge winner, this melding of all different kinds of businesses under what at one point was, quote, a newspaper. I'm just excited for the media naval gaze. That's right. We love that. Anyway. I'm very excited to say we do in fact have the perfect guest. We're going to be speaking with Meredith Copet-Levian. She is the president and CEO of The New York Times. She just reported earnings yesterday. We were recording this August 6th. Meredith, thank you so much for coming on OddLots. I'm delighted to be here. Fan of the show. New fan, but fan of the show. Thank you. Love to hear it. What is The New York Times? You know, because at one point someone would have said, oh, it's the newspaper. If someone says to you, what is The New York Times? What is it?

I think the New York Times is the essential service for curious people everywhere who want to understand and engage more deeply with and enjoy the world. When you first took on the CEO position, what would you have described as your biggest challenge at a place like the New York Times? Because, again, Joe and I have come up of age in the journalism business during a very turbulent time when all we heard was death of the media, death of the media, death of the media. Most of what many of us are still alive. Yeah. What a fun question. So I've been, I've been in this job CEO for six years, but I was the chief operating officer for let's call it three or four years before that. And then I had a couple of commercial jobs at the

times before that. And I would say As I was coming into the role of CEO, we were beginning to get to the point where it felt like the really hard arc of digital transformation was like we were doing that. We had done that and we were finding success with it. And I would say like this really hard period of playing defense, you know, how do we deal with the fact that we've got a newspaper business, a print business that's declining rapidly, and how do we get to enough scale in our digital business to make up for what we're losing in digital. So that's like around my own transition of role. We were beginning to transition from kind of playing defense to thinking more ambitiously about what is all that the New York Times can be and do as a force for value creation for its users, for society, for investors. So to me, like my own transition kind of came at a time where we were beginning to say, how do we think even more ambitiously about it? And then I'll just say that in all the time that I've been there. So I've been there 13 years and this is true. I came from two other media companies, so I spent the better part of my career working in and around journalism and media. The big lesson I've learned is that how and how much you can grow your media business is like first and always a question of how and how much you can grow the engaged audience for your work. Grow it, sustain it, grow it more, find the next group of people. And so I would say I regarded the job coming into it as how do we find that next tranche of growth of engagement for our work? Yeah, I remember when I was a business insider, you know, we get a lot more...

a lot of traffic from Google News, a lot of traffic from Facebook, and I remember even thinking about the time, it's like, that's great, clicks are great, but that's not your, that's not a real audience if they're not coming to you directly. But I want to ask one more sort of like big picture question, because I think that might inform some of the more specific questions we ask, but okay, so now the New York Times is... a news publication, but it's also a games developer. You've purchased games. You've developed in-house games. It's obviously a major food media recipe brand. What is the through line here such that all of these different things fit under a brand called the New York Times? Yeah, we do.

high quality independent news journalism and make market leading lifestyle products that are so good that they are to your point worthy of

being sought out by name, come to directly form to have it with. I'm sure there's a bit habituating to you and that that can happen at real scale because the world is filled with curious people who want uncompromised information. They want to engage with media that is trustworthy and true and worthwhile, worthy of their time. And I think that's what our broad brand promises. I'm always so curious. People always mention games and often they mention recipes. You did not mention sports. If I was listening closely, we're four years into owning the athletic.

I was gonna say this was the first year there was some athletic content that was popping up in my feed I don't have an upgraded New York Times subscription. I do have a sub. I'm so sorry. I don't have the upgraded We're gonna have to unpack what that means this was the first time well I do want to talk to you about price elasticity of yeah, but yeah This was the first time I ever felt that I was missing out on sports content as a sort of non sports consumer But you know the World Cup was going on and I kept seeing the athletic pushing out these really good stories And I was like I need to read this Yeah, but so we'll have to talk about you upgrading to the bundle where you can experience all of the New York Times. But I think to a large degree you're asking me what's the brand promise that cuts across all of it. It's that we are going to bring you high quality, independent, trustworthy information.

And we're going to present it to you in a way that is elegant, in many cases, enjoyable, that makes good use of your time. And that's going to add understanding to your life. That's going to make you smarter. That's going to make you a more well-rounded person. And in the case of our lifestyle products, athletic is a good example of this. What are we doing for the athletic? We're helping you be a better fan. Like enjoy your fandom more. You know, I'm a sad and sorry New York Jets fan. I read the athletic. I watch the athletic. I listen to it so that I understand what is happening with this team I care so deeply about. And we're going to do that in every dimension of the times. So.

I mean, the bundle has clearly been a big factor in the subs expansion and the success of the overall company. And then at the same time, you have emphasized over and over again that the foundation is high quality content.

It's high quality journalism and information for curious people. I'm really curious, as the CEO of the company, how do you evaluate between making, for instance, a star journalist hire investing in the journalism versus buying a new game that everyone is going to be addicted to or starting some new vertical that has the potential to be very interesting. Yeah, so many good questions in there. Let me start by saying the sort of core of the brand promise. The most important thing for us to get right is we're going to help you understand the world and we're going to do that in a way that is in service to nobody's interest but the public. And one of the most important reasons, the most important reason, the New York Times has had all the success. Whatever success it's had over the last number of years is because the first dollar in the place goes to the high quality independent news journalism. Period. Hard stop. And I think there's an idea in the world and this idea has been around for a long time that sort of hardcore independent news journalism, particularly about serious topics as a loss leader. You do it because you have to do it. You do it for the mission. But in fact, an organization like the New York Times makes its money from games or sports. I want to put that to bed. It's just like not true at all. We are going to cover the world at the judgment of our editors in a way that gets people the most important information they need to know. I think most people are not aware or thinking on a regular basis about the fact that there are brutal multi-year civil wars in Myanmar and Sudan. Most people do not know how and why Ebola is spreading.

differently in the DRC right now than in the previous Ebola epidemic. It is our job to tell you that. We're not telling you that because we think those stories are going to get more clicks or more video views to your point. And we're going to cover it whether we think it's going to get all the attention it needs or not. But the promise, the broad promise when someone buys a subscription to the New York Times is we're going to do that. We're not just going to give you what you think you already want. We're also going to direct your attention to things that matter that you may not know you're interested in yet. So I just want to say when I think about where do we invest? How do we allocate our capital? How do we think about resource at the company? The most economically value creating thing we do kind of writ large is high quality independent news journalism. Now, Make no mistake, we want to be or already are the unequivocal market leader in

every other space we plan to. So we want the athletic to be the single best place you can experience sports journalism if you are a fan of any team really we cover and we cover most of them, right?

And we want our puzzles. I think we've already achieved this and we want to achieve it even more to be the best sort of collection of high quality games that a smart person would play that make you smarter every day. I think we've achieved that and we intend to keep growing that. So I understand that. But how does that actually factor into resource? decisions, resource allocation, because all media companies are in some sense resource constrained. You have to decide, am I going to get a digital editor who's really good at social? Am I going to get a reporter? Am I going to get a new game designer and all of that? One of the things that makes the model of the times work so well is who gets to decide how many people we have on the ground in Ukraine. I think we had 70 last year in and out, so five years into a grinding war.

the editor gets to decide, the journalist gets to decide. Often that actually happens below the level of executive editor. It's the international editor, and it's the people even closer to what is happening in Ukraine, in Russia. So my job is to make sure the company is economically successful enough that no journalistic leader has to say, can we afford to send Declan Walsh, who's an incredible multimedia journalist in DRC. I don't know if he's there today, but he's been there very recently. It's very expensive to send someone into the Ebola zone as safely as possible. My job is to make sure that no editorial leader who is saying, we need to cover this because the public needs to know it has to say, but that feels really expensive, or this war has been going on for many years. People already know enough about it. My job is to see that we are economically viable enough that nobody ever has to say that. Not just viable, but successful. Right. Let's talk talent and journalists accumulation for a second. There have been some notable departures from the New York Times. Ross Douthat, a star columnist, is going over to 60 Minutes. The co-hosts of Hard Fork are leaving. One of the things with a lot of like Traditional news organizations, for one thing, even before digital, the pay scales, for example, between a sort of typical newspaper and just even TV are really weird and they're really wide. And so you could have a great columnist who's making a fraction of like what a,

you know, a CNBC anchor makes or something like that. Now you have this new thing where people like the infrastructure to build out many individual newsrooms.

Is very easy click of a button have your own little newsroom on substack or something like that how do you think about essentially making the case to existing. Capital T talent I hate that word but it's the word people media use to either stay at the New York Times or. to come to the New York Times in the first place. Yeah. Let me start by saying, first of all, Ross Douthat is awesome. I love his show. He's been a columnist for a long time, loved his show. I think I've listened to most of the episodes. Kevin Roos, tech reporter, awesome. I wish those guys well. I think they'll be successful. And I look forward to seeing it. We have the largest collection of journalists we've ever had in our history by miles and miles and miles. And even if you don't count the athletic in our Wirecutter newsroom, The largest collection we've had in our history. There are like a thousand more journalists in the New York Times newsroom today than when I got there 13 years ago. And the most talented. And there are a lot of stars. We love having stars. We want to make stars. We want to nurture stars. And we want them to do their best work. I think The Times has a model. It's maybe different from others model that goes something like this. The best journalists in their career.

at the top of their game, coming to do the best work of their careers, supported by the best editors, the best partners, if you ask Jonathan Swan, who just co-wrote a book. Big book with Maggie Abram and about the first year of the second Trump administration if you ask him why he came he said he will tell you he came to the Times because he wanted to work with the other best Journalist there was covering the White House if you ask Ezra Klein what makes his work so good at the Times he will he will give a lot of credit in part to Aaron Redica his editor so incredible and an incredible support system around them. Lawyers, security people, people who will help stand up for your work when you're covering difficult topics and others don't want that information to get out. And the best graphics people, the best photographers, people who will make that help you make the work that you make the best it can possibly be. And then what's the other differentiator at the times for a really, really big audience? I can tell you that when somebody comes in from the outside, to the times, even if

they're well known to begin with, the thing I always hear from them is, wow, it's different to publish a story in the New York Times in whatever format in terms of audience. I think our proposition is about people who, really talented people who are obsessed with both the name on the front of the jersey and the one on the back of the jersey and understand the benefit of both. I'm not sure that's for everybody. I accept the fact that it's not for everybody.

Our model always evolves at the margins in anything we're doing because the world evolves. But I think the core thing I've just described will endure. I think it will endure and unequivocally. We're making a very big push, an ambitious push into video. Unequivocally, we want to have the best journalistic talent on earth. And we're going to do what it takes to have them. I'm going to say one other thing, which I think does not get a lot of play. I get asked all the time, will you have a television construct? How do you pay? We have stars. We nurture them. They're doing great at the times. And we also have the 70 people on the ground in Ukraine, who I referenced. And we also have people in Sudan and Myanmar and some of their names, you know, right? Some of their names you don't know. And the ability for the model of the New York Times, I run the business, the ability for the model to accommodate all of that in an enduring and sustainable way is incredibly important. But make no mistake, we want to be the place the best journalists can be. And stay.

Our hometown is not a test tube. 90 miles northeast of Nashville, a battle for the future of America plays out in one small town. Developers with right-wing ties have purchased hundreds of acres of land. We need cities on a shining hill. This is Our Town, a podcast about what happens when a small town becomes the site of a social experiment and fights back. I guess you didn't move in on a bunch of dumb hillbillies now, did you? Listen to Our Town on the iHeart radio app.

Apple Podcasts or wherever you get your podcasts. I do want to ask you more questions about video, because that's of interest to us as well. And we're on video, I mean. Yes, we're on video. Everyone's doing video nowadays. Pivot to video. But just on the sort of independent journalist idea, do you find yourself sourcing more, again, talent? I'm doing air quotes

on a podcast, but hopefully people on video can see me do them. from independent platforms or from social media itself. So for instance, TikTok, Twitter slash X, maybe sub stacks, things like that in a way that you weren't doing say 10 or 20 years ago. Meaning when somebody is hired into one of our newsrooms. Let me answer the question in a way that reflects what I know to be the case.

We are going out and looking for the best work and the best people behind the best work. And right now, and again, I'll say I'm very proud of the fact, and I think it's quite important to our economic success, that we've hired so many news journalists, news and opinion journalists over the last decade plus. We are looking for best work and we are looking for people who are able to and want to do that work in an independent way following a set of really rigorous professional standards. Where that presents is in any number of places. I will say it's not been my experience as a media consumer that you're seeing a ton of kind of journalistic work outside of the.

journalistic organizations, not saying there's none there. But so I would say we are looking for where we find the best stuff and the people doing it in a manner that we think they can really thrive at the New York Times. And that's to a very rigorous journalistic standard and particularly a rigorous standard for independence. I have two questions on video. One is very short and I'll ask it first. You have some great reporter, senior reporter, they do this big investigative. thing, they've been at their times for a long time. And then they're like, and now you're going to hold a little microphone and you're going to talk into a little iPhone and explain this to 90 seconds for an Instagram Reels person. Do they like that? Or they're like, come on, like I'm a serious journalist. You're making me hold this little degrading microphone in front of me. What's that like? Yes. I mean, I will just say, first of all, the quality of those videos is very high. Not everyone is perfect.

but the quality is high. And I have been here 13 years and I can tell you moments where it felt like we were pushing to do something new or to change or newsroom leadership was pushing in that felt like there was a lot of resistance. This is not that moment. This is a moment where I think people are so excited that The Times is leaning in in a really robust way to a new format. What is that new format? do for us. We put you on camera. You

get to explain how you got your story that is fundamentally interest producing. It is trust building. We get to show the independence of the process, why you got that information in an uncompromised way. Often now you'll see a journalist like almost holding the receipts of the information they have that is all so good for showing what is the core act of journalism.

It's reporting. It's professionally trained people going out into the world and unearthing new information. The more we can show that, the more people are interested. The more the public understands what is independent journalism, why does it matter? One other question. So the stock overall, New York Town has done very well. But I believe the last two quarters, including yesterday's earnings announcement, is sold off a bit after earnings. And there is this anxiety about, essentially, I think the words, you know, Video production is costly. And this is now five or 10 years ago, everyone was talking about pivot to video then, and that sort of fizzled out, et cetera. It fizzled out because it was a naked attempt to go get ad dollars. On Facebook, on Facebook. And this is about can you build an audience of millions of people to come watch in addition to reading. Can you walk through a little bit more of that video ROI and how it works? Yeah. Let me first address your sort of push on where valuation of the...

the company in any given moment, I often think I have the best job in media, certainly the best. We can argue after the show, but because this is a company, public company, but it's a family-controlled public company, why does that control structure exist? Two reasons. One, keep the journalism independent and in service to nobody's interest, but the public, not even our own commercial interest. And two, it allows us to play a long game. And what does every CEO really want to do? You want to make big, bold, ambitious bets that you can get consumers at real scale to do something. And then you want to give those things time to play out. And I want to tell you what I've learned in my own career is making great things. It takes time. And it takes resource and investment. And we are.

Building a larger and more profitable company with every sort of passing quarter at the New York Times and I believe strongly we will continue to do that with more subscribers and more revenue and more profit and all of that

is a Virtuous circle to getting to do even delivering on our public mission better and better, but we have the benefit of of taking a long view of our strategy. And therefore, we give it the investment. We give it the resources. We give it the time to play out. And I think to your point, I think you said in your intro, the stock was 6 when someone asked you to come to deal book. What a shame that you didn't come. That team is killing it, continues to kill it. Andrew Ossorghan is the best. But all the value creation we've done is from making a handful of really considered really ambitious bets about how to have the widest possible engaged audience for all of our work. And that takes time and it takes investment. And I am so confident and comfortable that there others may have an anxious moment. Our work is to have a really clear ambitious vision for where we're going, for how we serve the American public, the global public with our journalism and our amazing lifestyle products. And I am confident to my core that we have great potential to do economic value creation as we do that, as long as we stick to our strategy and see it really clearly. But I think to Joe's point, like the original Pivot to video seem to be very much. We didn't really make right away, but in general it seemed to be very much advertiser driven It was a cynical play to get advertisers in the in the moment when the video ad market was yeah, and now everyone talks about it as more consumer engagement reader or watcher engagement and all of that and I personally do not understand it. So I watch videos on YouTube. I do it mostly because the platform is convenient, but I'm not actually watching them for the most part. Most podcasts, I still listen audio only. I do not watch any podcasts. What is your take on why consumers actually value video as opposed to written...

or audible news. That is such a good question. And let me first say it has been our experience, even in the kind of print to digital transition and the web to mobile transition and even into audio when we've got a monster success in audio, right, with The Daily and a number of other podcasts, all of which are video shows now except The Daily. Daily's still monster, monster success. It has been our experience that the old format does not go away. If you listen, you're going to listen. I'm a runner. I listen more than I watch. To most things, I listen to a lot. I actually listen to automated voice of our articles most mornings while I'm running so that I'm caught up on what's on the homepage of The Times. I would regard this effort and video,

at least at The Times, as following a belief, and I think there's just clear evidence that it's there, that there is a huge amount of people who read and listen.

And we're getting a lot of those people, by the way, still running room left there. But we are doing really well with a lot of those people. And then there's a giant audience of people who watch and they watch. What do they watch? Some watch news. A lot of them are watching entertainment that has some current affairs bent to it or is adjacent to news. I actually think a lot of what you're referring to on TikTok or YouTube or Instagram is that and we see an enormous opportunity to feed that audience's interest. A new audience for us, right? This is not a replacement behavior for reading and listening. This is the times making a big move into a market that we play in only in a nascent way today and to serve that market and honestly to answer to a white space that is there for really high quality journalistic content and reported.

content. And I think there's sort of two sides to it. There's still a lot of people, they may be older, but who watch the news on television, still a lot of people. And there is a giant number of people who are either passively scrolling video platforms and getting kind of news adjacent stuff, or they're going to YouTube and they're watching long stuff. And we see a huge opportunity to take share in both of those places. And we're really early at it. But that's what it is. Listen, I ran our commercial business that when the pivot to video happened, that was a cynical attempt to get ad dollars without regard to the thing I said at the very beginning, which is, can you get millions of people to engage with the thing? We want to do things at a scale of millions of people engaging with it.

every day and I see that opportunity in video. When we talk about video or even when we talk about games or when we talk about recipes and then of course corn news you know okay there's this great New York Times brand but I also and I think I associate the brand with a sort of you said the word curious pretty relatively educated liberal minded and so forth and I'm curious like how you think of all of these things with one of the big risks for all media which is to some extent audience capture and people worry about it's like okay you have this audience and there's two risks that arise is like

one is you might have the good reporting might involve things that offend the audience etc or people might just seek out media that's even more satisfying to them ideologically or personally, then it's like the New York Times is insufficiently speaking to my niche interest. Obviously, this is an editorial question, but it's also a business and long-term question. It's a great question. How do you think long-term about the size and durability of an audience that might want to be spoken to in specific ways? I love that question. And let me first say, how do we think of our audience? Curious?

They are educated, open-minded, and what is our job? Open-minded is a little safer than liberal. Open-minded. And if you look at the total audience of the New York Times, it reflects that sort of who is there reflects the population at large much more than your liberal comment would suggest. We are going to pursue the truth wherever it leads. even when, and this is often the case, it leads to very uncomfortable places that people do not want to know. And I think you only need to stand on the street in front of our office on days where we're being protested sometimes. in different ways, by opposing groups, both of whom think we exist to defy their cause. That's nonsense. It's nonsense. When you've angered both sides, that's how you know you've... Our job, I could give you so many stories and anecdotes where it's the conventional wisdom is that this thing happened and in fact, something else happened, which is much more difficult for the public to grapple with. And we're going to tell it that way.

when we have the evidence that that's what happening. You know what? That pisses people off. And we're not there to please. We are there to give people understanding about the most important things happening in the world. And that is just paramount. And so I love your words, audience capture. We're just not doing that. That is to the extent that that assumes some compromise in that pursuit of truth. That is not what we do. We do not chase audiences. We want a giant audience. We want a giant engaged audience, but we're going to win them because I actually think most people want information, particularly in this environment where there's so much slop and disinformation or you just don't know where something came from and is it true at all? People want to know the thing that I'm getting is true.

They want to know that a fair process was pursued to get that truth. They'd like to see the receipts of that process. That is what we're doing. And I want to say that is what we are doing in news, very broadly defined news, a big, big space. That is what we are doing in sports for fans. That is what we are doing. In shopping advice, we wire cutter our product review site. I'm sure there are lots of ways we could make money beyond producing high quality independent reviews. That's not captured either. If the mattress everybody thinks is better or cooler isn't the one that our testers say is most comfortable, we're going to say the truth about that too, even if that other mattress company is the big advertiser. So that's the promise.

We believe, and I think we have shown for a long time now, that promise is value-creating for society, and it is economically value-creating. Have you ever wondered how Jesse Cole took the Savannah bananas from this? We had a 6 million failure last year. We're going to have bigger ones as we go. To this, we've got shareholders and investors that have reached out to us regularly, and the answer is always no. Or why L. Duncan would say this about a Netflix sports broadcast. Sometimes we're going to take really big swings and we're going to frickin' whiff. Then the deal is the show for you. It's a Bloomberg podcast hosted by me, Alex Rodriguez. And me, Jason Kelly. We talk to the biggest names in the world of sports and business, including NBA Hall of Famer Tracy McGrady on one of his biggest blunders. I think I've created something magical. Mm-hmm. Well, I struck out. And you'll even get some of my baseball hot takes. I've had owners tell me.

It doesn't matter. The game has to be fixed. It's broken. If we have to lock out the whole year, we will. New episodes air every Thursday. Don't miss out. We should talk about AI. Yeah, yeah. for sure. So it seems like as soon as we kind of started getting through the digital transfer. Here's AI. Here's AI. A new problem to solve. Yeah. And media organizations so far are approaching it in very different ways. So I know you've done a licensing deal with Amazon. Meanwhile, there are other organizations, perhaps the one we're sitting in that have said they don't want to do licensing agreements. They want usage based fees and that sort of thing. In your mind, what is the ideal compensation setup for journalism?

when it comes to LLMs. Let me say a couple things about that. First, we spent close to 2 billion last year producing half a million works of content, stories, photos, videos, expressive, creative work that required enormous resource to go make and human beings to go make. And we've been doing some version of that for 175 years. So we have a giant corpus of stuff. We know that stuff is incredibly valuable to society, to anyone who might use it, including the LLMs. You mentioned we've done a deal. We have also sued three companies. We're two and a half years, maybe almost three now, into suing open AI and Microsoft. We sued Perplexity last December and we've done a deal. And what is all that about? That is about standing up to the idea that these companies have stolen our stuff. They've used it without our permission or any kind of control and they've built products that can compete with us. And there are multiple ways to take care of that problem. One is to enforce our rights in court. Another highly related to your point is to do deals. So what do good deals look like in our mind? They can be continuous with a strategy to have a sustainable and growing business for a publisher or anybody producing high quality information. One, two, we give permission, very clear permission to use our work and then have control in all the uses, all the ways that it might be used.

And then third, and obviously there is sustainable fair value exchange for the use of that work. And the Times is very open to dealing when we can find those terms. I think the stakes are really, really high here. And I just want to say, this does not get talked about enough. These companies, the LLMs, are spending tens of billions of dollars, sometimes hundreds of billions of dollars on talent, on compute, on power. they should be spending the money that is sufficient value for exchange they are getting from what they call data, which is high quality independent journalism, and other kinds of creative work. This is a different AI related question, but I've been very curious speaking to every executive. How are you thinking about the New York Times' own, I guess I would say token consumption, allocating access to models for obviously the...

I'm sure the developers are all using cloud code or codex or whatever. Has token spend gotten to the point where you think about, OK, 2027, what are we investing in? Is it up to that level yet where it's like sort of in your circle, you have to think about token spend? Let me say it's a great question. And

every CEO I know, I'm on. also on another public company board. Everyone is talking about this. Everybody is wondering how everybody else is thinking about it. We keep saying it's going to be the standard question for executives and the way that you ask about like workers. I think it's like a second question and as you would imagine we've rolled out coding tools to a huge swath of people.

in product development at the times and marketing at the times. We actually have a big AI initiatives team in our newsroom that's building really cool stuff. I can talk about some of that too. It would be a miss not to talk about that. But the way we think about it today first is what's the work that should be human led? And I want to say high quality independent journalism. human led, human led, creative stuff. We make this a creative company. We make stuff that is best by humans for humans. Doesn't mean AI isn't going to help us do a bunch of things better, more efficiently, more productively, but human led in the creative work. So I just, I want to say that. And so for us, I think everyone, I think anybody who's saying otherwise probably doesn't really know yet. I think we're all in a period of seeing what can the tools do?

And we've got close to 1,000 people doing digital product development in the New York Times and 3,000 journalists and people making content. The journalists and making content group, if you ask me, my guess is that keeps growing as long as we keep succeeding as a company that keeps growing. And I think it's going to be some time. before the tools themselves, given all the evaluations and the human judgment, I think it's going to be some time before anybody is going to give you a really credible answer to that question, honestly. Fair enough. OK, what are you doing with AI? a bunch of things. So let me give you examples. Better way to the Epstein files dropped on a Friday night and I think it was like three million pages of documents. And we obviously have all these reporters who had all these queries and questions and sort of ideas of what would be important for the public to know from those files. Our AI initiatives team built a tool set to use and comb and look for patterns and clusters.

and our production of high-quality journalism, human-led high-quality journalism from being able to use the tools to comb and look for patterns

and see what was in the trove was just awesome the next week, like awesome. We were able to get to information in a much faster way. We were able to tell different kinds of stories, amazing. So that's a use of AI. And we've got a whole team in the newsroom that's looking at where are the best uses. I think huge troves of public information. So this is an old example, but when Trump was coming back into office and appointing cabinet members, we would be able to use AI to look at their full public record in a much more efficient way. And then there's some like stories you couldn't tell before when this Sidney Sweeney Jeans, jeans, fracas happened. The idea on social media was that it was like people on the left. The libs are outraged. The libs are outraged. And we actually used AI to prove that it was first a construction of the right. So there's all kinds of interesting things. My favorite example is we were trying to convey this new trend in sport. And we used AI to sort through all this existing aerial imagery of tennis courts. Do you know what I'm going to say next?

how many of them were converted to pickleball. Horts to like, to just show, right? But like, I'm just giving you like a range of things and to make the work more accessible. I automated voice translation. We had an early experiment in translation. The tech will get better. I see real opportunity when the tech gets better. My old boss, Henry Blodgett, points out. Guest on the show. Passed guest on the show and pointed out on the show that Historically, at newspapers, there might have frequently a division between reporters and writers. Someone calls in data. Yes, he did say that. What if just the idea of a reporter out in the field calling and typing in some data and having an AI generate it automatically offend you as a possible workflow?

Rather than yeah, rather than someone had a cold writing rather than tell you what offends me Let me tell you what I think the act is I think the act of a reporter and by the way The foundation of journalism is reporting reporting reporting. What is reporting? It is going out into the world and following a professional process to in a fair way Unearth new information. Yeah, it is talking to people that is going to the scene where awful things are happening or Good things are important things are happening And then with sensitivity and judgment translating that into what does the consumer get on the other side, the reader, the listener, the watcher, understanding, that

process requires sensitivity. I think all the time about like the horror of school shootings or, you know, these things need to be All of this, especially difficult things, need to be translated with sensitivity and judgment and care about the humans that you're writing about, for the humans who are taking it in, so it lands with impact. I think much of that process is human. Now, am I offended by the idea that there are a bunch of things that tech, including generative AI, can do so that we can have more reporting? I'm not offended by that idea at all.

Not at all. And the times is where it is because we're really comfortable that technology is going to help the company have bigger audience, do things to make the work better if it's used responsibly. Can we talk about price elasticity? So I'm very interested in this question because it feels like maybe there's something about information that just makes people reluctant. to pay for it sometimes. I've seen people in one breath say like, oh, we don't have any good media left anymore. And then in the other breath, they'll be like, oh, I don't want to pay for that story. It's a paywall. And it makes no sense to me. And even though we're in this age right now where everyone's talking about the importance of data because of AI, you still have the LLMs who don't want to pay for the underlying data in the content.

What have you learned about pricing journalism? You've done so many experiments with the bundle. You must have a lot of information about what people are willing to pay up for and what they're not willing to pay for. Such a good question. I'm going to spare you the anecdote of my niece asking me to share my New York Times password. I said, do you know what I do for a living? I think the most important thing to say on that is one of the reasons the Times has all the subscribers we do is we never accepted that we had to choose between having a lot of stuff widely available so that people could sample our work and also enough value and gravity in the product so that people would pay. And I just I don't think that gets said enough. We were early at that. There is so much New York Times today, yesterday, tomorrow that you can take in if you do not pay us so much good work and real gravity in the paid experience. And we've been very careful for, I've been working on this more than a decade, to always be kind of calibrating between those two things and never letting the balance tip so much.

that you are not planting the seeds for the next million subscribers and the million after that and the million after that. And we've been keenly aware for the better part of a decade that the direction of travel from the platforms will be the, we should be getting more and more of it into our own control. And we've done a lot of that and it's also part of why the times has succeeded. As to price, I'm going to say a very basic thing, which is we have a pricing strategy that I'm going to use now. Business jargon, because you said I could. That's meant to get everybody under the demand curve. We think there's a huge market in news and in every one of our lifestyle products.

huge market. We are still early in penetrating that market in news and in every one of our lifestyle products. And so our pricing strategy is meant to get everybody under the new man curve. And I'll say on one side, it's like international subscriber buying our games product on sale or international prospect coming to pay for games on sale all the way up to someone who has bought a family plan bundle. and going to share it with their whole family. There's a lot of room in between there. Our hero product, the best thing we can do is get you to buy our news entitled bundle, because that has the most value in it. And at every pass, every opportunity we've had to get people to find more value and then pay more has gone well. And that is because we have relentlessly made the product more and more and more valuable. And one of the reasons I believe we will keep growing value for shareholders is because our products are literally just inherently, every one of them is getting more valuable every day. And so what does that look like in brass tacks? Most people buy our news entitled bundle, which is the whole thing at a dollar a week. And then over time, they engage and then over time they reach a pricing step up point and they come to a much higher price because they have experienced so much value and they're able to do it and that has all gone really, really well. I have one last question actually and I asked earlier about audience capture. This is sort of maybe a business management question. Another thing that happens in newsrooms is a newsroom capture and By that, I mean, for example, I remember several years ago, there were various reports that, for example, you know, losing any given talent, as you mentioned, not the end of the world, but someone might feel bullied, Barry Weiss left the New York Times or all these reports of angry slack messages about things that she was writing or editing. There

was the internal backlash that was reported after the Tom Cotton op-ed, I believe in 2020, et cetera. From a management perspective, how do you maintain the sort of truth mission or sort of the open-minded mission and balance the risk of ideological or sort of certain motivations within the newsroom that might potentially cut against?

sort of high level editorial goals. Yeah, let me give like a high level answer to that and then maybe a more tactical one. At a high level, what I would say is everybody who comes to the New York Times has to understand what it means to do independent journalism and that means pursuing every story with an open mind and an empty notebook. I feel silly saying that to you. You guys are journalists but like you know what I mean and The thing that I feel incredibly proud of is how much time and effort and energy, the leadership of the place, myself, the executive editor, Joe Kahn, who's amazing, the chairman and publisher, AG Salisbury, who I think is the foremost authority on this in the world, just how much time and effort and energy we have invested, the leaders who work for us have invested in just making that an unequivocal throughline to the culture at the New York Times. We do, and so now here's the tactical word. What does that look like? We never did Town Halls before I was the CEO. I think the first one we ever did was like to tell people to go home for the pandemic. You know what I mean? And now we do like a monthly all-company meeting. A couple thousand people come. This is amazing. And we show...

journalism we're proud of and we talk about how that journalism came to be. We have unbelievable sort of resources and development for journalists and for the whole place on what does independence look like? What does it look like in practice? We have a trust and standards team that is absolutely the largest in the industry. and much, much bigger than it was, say, five or six years ago. And that team is constantly sort of asserting itself, but publicly within the company to just educate people on what good looks like. There's a lot of like, this is what good looks like. And I think all of that just plays a huge role in people knowing sort of how not to...

imagine we're doing audience capture the way you asked before. And then I'm going to say the more tactical thing, which is a lot of this is about who becomes a journalist, right? So we also have these really important

development programs for talent in the newsroom today. And for talent outside, we've got a local investigative journalism fellowship where we've got people in Mississippi and Baltimore and other places. So we are also trying to develop the next generation of journalists who enjoys that. I'm really passionate about that one. Sorry to go so long. Can I ask one more question? Yeah. I feel bad about saying I don't have access to the athletic. So I'm going to ask an athletic question. I'm going to get you a gift subscription. Thank you. Or maybe give you the bundle. You know what? I'm going to take out this. I'm going to upgrade my subscription. You're going to upgrade to the bundle today. You should. When Infantino is ousted from FIFA. Oh, OK. I'm going to wait. Like, Chad and Freud, I will drive to that coverage. That is a good story. OK.

When you acquired the athletics. So this was an independent newsroom with like its own culture and its own ways of doing things. So I'm really curious just from a cultural perspective what that integration was like and what you learned from them versus what they perhaps learned from you. That's a great question. So we acquired like a giant newsroom with a tiny little business team, which was super interesting because I personally have like led. big business teams. There's about 450 journalists. And most of those people, not all of them, but a lot of them came from the local newspaper ecosystem. So the founders of the athletic had gone and sort of scooped up the best beat reporters in big cities, big sports cities all over the country.

there was somebody posted something on social media. It's not exactly this, but it was the equivalent of, look, an athletic journalist when we acquired it. Look mom, now I work for the New York Times. So I would just say we expected like this very difficult cultural thing. And I've done other. I've done other very difficult cultural things. At the New York Times, this was not that. This was not that at all. It is a pleasure to own them. The newsroom is now probably 100 people bigger. We hired the guy who was like the number two or three editor at the Washington Post, named Steven Ginsburg, I think now three and a half, almost four years ago. He's a killer. He's so good. He's so talented. And he was both a sports guy and a serious journalist with serious.

newsroom chops and I think it's going swimmingly and he has done quite a bit. One of the things we've done there is added a much more substantial, the athletic was good, we wouldn't have bought it, but we've added a much more substantial layer of editing. They did not have a lot of editors, New York Times very edited, so we've added this layer of editing and We've kept them independent. You know, they are, it is its own. We both, as a brand, we want to build the brand, the athletic, and it's an independent newsroom. It works to its own rhythms, to its own leadership. It works for a publisher, a guy named David Purpett, who's an amazing family member. He works for me. So it is like set apart from the newsroom of the New York Times, and it's working really well. Given it's working well, would you consider making a similar acquisition, similar size to acquisition?

I, oh my gosh, I learned so much from the athletic. And what I would say is we love the spaces we are in. They're big spaces with a lot of running room. I don't rule out that there's another space or that there's something we can add in a space that we're in. I would say to people who think about our economics listening, the bar is really high for return on investment. So we're very discerning. thoughtful enterprise when we consider inorganic edition, but I certainly don't rule it out. And I would say we also have a good track record. People never asked me about this, making our own stuff, the push in video we're making now. We are making it as largely with people who were already at the times were adding capability later. In games, you mentioned the very beginning, we acquired portal for a little bit less money than we acquired the athletic for.

being funny there. We acquired Whirtle. We built all the other games, right? So we're also very, very focused on investing in organically. Meredith Copet-Levion, thank you so much for coming on. What a pleasure. Lots of fun. Thank you so much, Meredith. That was great. Tracy, that was a lot of fun. We could talk forever about media stuff because we're in it. Media people can talk about media stuff forever. We didn't get into this, but one thing that Meredith said at the end when she was talking about the athletic and it built its model by sort of hiring a lot of the star reporters, you know, it's like they'll hire the star reporter in St. Louis to cover the St. Louis Cardinals or something like that. In media in general, there's all this anxiety

about 20 years ago is like Craigslist has under covered it, uncutted the classifieds business, right? Or Google News and now AI, et cetera.

The New York Times with its success has become the sort of like, yeah, like the monopsony buyer of great talent in the news business, et cetera. And I always think like imagine several years ago, like if you were the White House reporter at the Dallas Morning News, if you're great. Maybe you end up at the New York Times and does the you know all these other like local news outlets do they still most of them don't anymore have say a White House reporter because they're competing on the internet scale with the New York Times like I'll just read the New York Times's White House coverage. Are you feeling wistful about the deal book offer? No, I just think it's interesting like you know here's this one company that's really thriving and at the same time it's like well there's all these other newspapers that can't replicate it or can't do that because like it would be redundant or it's very difficult for them to... This is what I was thinking. So it feels like when we talk about problems in traditional media, a lot of it is a distribution problem. A lot of it is a sort of fracturing of the one-stop-shop media outlet. So it used to be that you turn on one cable news channel.

almost everyone is watching it or you pick up, you know, one newspaper, whether it's your local paper or a national newspaper and you read that and that's sort of the thing that you're reading. Whereas now because of the internet, everything has broken into like little verticals, little silos. Everyone has their area of expertise. If you're really big into football, chances are you might not be reading a newspaper on a daily basis. You're probably reading some sort of sports. Football publication. Exactly. And I think like to some extent the New York Times has kind of proved that you can still be a one-stop shop as you accumulate all these different verticals and put them under one house. I guess what I would say is the New York Times has proven that the New York Times can be one-stop shop. The New York Times can do it, yeah. The bigger question for media is like, are there any lessons from the New York Times that actually could apply to any other publication? And I think that is either no or very wide open to say the least. But you know. It may be that there's only room for like one one-stop shop of content. Because like the one-stop shop, it's like it's not weird at all for newspapers to have games. They had games forever, right? They had crossword puzzles.

Every, I'm sure there was the Kansas City Star had a crossword puzzle. Maybe it still does. They all had crossword puzzles. So it's like the idea of recipes and games and news all going together is in some sense the most normal thing in the world. The question is, okay, how durable? A, can there only be room for one maybe in the English speaking?

World and then how durable and big is that audience again of Meredith used open the educated curious open-minded cohort. Yeah, how durable how many of them are there versus eventually do they slowly splinter and seek out news that Just more ideologically satisfying to all of them ideologically satisfying or just satisfying to their own particular interest Absolutely. All right We could go on. We could go on, but people listen to the episode. All right. Shall we leave it there? Let's leave it there. This has been another episode of the Odd Thoughts podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Joe Wiesenthal. You can follow me at The Stullwert. Follow our producers, Carmen Rodriguez at Carmen Arman, Dashel Bennett at Dashbot, Kale Brooks at Kale Brooks, and Kevin Lozano at Kevin Lloyd Lozano.

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